

negative outcome. Of course, these gain-and-loss amounts and their respective probabilities must be based on subjective estimates. Nonetheless, the key point is that the probability-weighted gain must be lopsided relative to the probability-weighted loss.

The rigorous standard for qualifying trades will lead to a concentrated portfolio. Typically, Mai will have only 15 to 20 independent risks (consisting of one or more separate trades) at any one time. This concentrated portfolio approach should not be confused with the proverbial “put all your eggs in one basket, but watch that basket very closely.” The important distinction is that although Mai’s portfolio is very concentrated, the asymmetric construction of his trades assures that the downside is always severely constrained if he is wrong.

3. Implement trades asymmetrically. Mai structures trades so that the downside is severely limited, while the upside is open-ended. One common way of achieving this type of return/risk profile is by being a buyer of options (of course, only at those times when a mispricing is identified).

4. Wait for high-conviction trades. Mai is perfectly content to stay on the sidelines and do absolutely nothing until there is a trade opportunity that meets his guidelines. Having the patience to wait for high expected value trades greatly enhances the return/risk of individual trades.

5. Use cash to target portfolio risk. Because most of the trades in the portfolio are derivatives, which require much smaller cash outlays than outright positions, Mai will hold a large cash component in the portfolio (typically, 50 to 80 percent). By increasing or decreasing this cash component, Mai can target his desired portfolio risk level.

Prices for derivatives, such as options, are determined by pricing models that embed certain assumptions. These models are used because they generally provide reasonably good approximations. The assumptions these models are based on, however, are sometimes inappropriate for a market given the specific prevailing fundamentals. The acceptance of these assumptions as being universally applicable when, in reality, they are not, leads to trading opportunities. Mai identified five generally accepted assumptions that sometimes are invalid.